

China Daily Brief

Monday, September 7, 2026

RE: RE: Taiwan patrols · Belgium chip-spy arrest · Manila warns on Korea drills · Bank injection stumbles · MOFCOM hits Japan

THE BOTTOM LINE

Beijing ran a defensive-and-offensive playbook in parallel today: Belgian prosecutors detained a Belgian-Chinese man for allegedly passing semiconductor secrets to China even as Bloomberg reported fresh PLA patrols off Taiwan's Pacific coast and Manila's defense chief warned China could exploit thinner US-South Korea drills. MOFCOM opened a new anti-dumping case against Japan, MOFA confirmed AI-safety talks with Washington are 'ongoing' without giving a date, and shares in Beijing's newly recapitalized state banks fell anyway. Watch: Sept. 24, Xi's Washington visit and the business delegation he is reportedly assembling.

TODAY AT A GLANCE

- 1 Bloomberg reports Beijing has added new patrols off Taiwan's Pacific coast, extending PLA pressure beyond the traditional Strait median-line theater.
- 2 Belgian prosecutors detained a Belgian-Chinese man attempting to board a Brussels-Beijing flight on suspicion of passing semiconductor trade secrets to China.
- 3 Philippine Defense Secretary Teodoro told Reuters Beijing could exploit the recent scaling-back of US-South Korea military exercises to expand its Indo-Pacific influence.

CROSS-STRAIT

China piles pressure on Taiwan with new patrols off Pacific coast

Bloomberg reports Beijing has added new patrols off Taiwan's Pacific (eastern) coast, extending pressure beyond the Taiwan Strait median line that has been the traditional flashpoint tracked by AMTI.

So what: *Feeds into the security backdrop for Taiwan's Nov. 28 nine-in-one local elections.*

BLOOMBERG

PLA

From dance floor to war: China readies humanoid robots for combat

Reuters reports Chinese manufacturers are adapting humanoid robots long showcased in choreographed dance routines for military combat applications.

So what: *Adds a new data point to PLA-modernization tracking ahead of the October Fifth Plenum.*

REUTERS

TECHNOLOGY

Belgian-Chinese man detained on suspicion of semiconductor espionage

Belgian prosecutors took a Belgian-Chinese man into custody on suspicion of industrial espionage, alleging he transferred semiconductor production trade secrets to China, AP reports. Bloomberg reports he was arrested attempting to board a Brussels-Beijing flight.

So what: *Adds to a string of EU semiconductor-espionage cases as Brussels tightens export-control enforcement.*

AP / BLOOMBERG

INDO-PACIFIC

Philippines' Teodoro: China could exploit US-South Korea exercise cuts

Philippine Defense Secretary Teodoro told Reuters China could exploit the recent scaling-back of US-South Korea joint military exercises to expand its influence across the Indo-Pacific.

So what: *Raises the stakes for Washington's Korea force-posture decisions as they ripple into South China Sea calculus Manila watches closely.*

REUTERS

PRC-ECONOMY

China pumps \$54bn into banks and insurers, but their stocks still fell

Shares of China's state banks and insurers fell Monday, a day after Beijing detailed a roughly \$54 billion (360 billion yuan) recapitalization plan covering eight institutions including ICBC, Agricultural

Bank of China, China Life and China Reinsurance. The Ministry of Finance-led plan is funded partly by a state tobacco enterprise, CNBC and FT Chinese report.

So what: Tests whether newly capitalized insurers get directed toward onshore equity purchases, a link analysts are already watching.

Pattern: Expands on a prior recapitalization round that covered only two state banks; this year's scope was widened to include insurers and other state-controlled financial institutions.

CNBC / FT CHINESE

US-CHINA

SANCTIONS · THE WIRE CHINA

Sanctioned Chinese firms share addresses with already-blacklisted companies

More than a third of the Chinese companies the US sanctioned last month for supporting Iran share office addresses with firms Washington had already blacklisted, The Wire China reports. The overlap in Hong Kong addresses suggests sanctioned networks are being reconstituted faster than OFAC can track them.

DIPLOMACY · TAIPEI TIMES / REUTERS

Xi preparing large CEO delegation for Washington visit

Xi Jinping is preparing a large business delegation for his Sept. 24 Washington visit, a break from recent practice since Beijing's tech and property crackdowns began, sources say. A US official said 'The White House is not tracking a Chinese CEO delegation,' while Xi's only comparable prior trip, in 2015, included Alibaba's Jack Ma, Tencent's Pony Ma and a \$38 billion, 300-plane Boeing order.

EXPORT CONTROLS · BLOOMBERG

Malaysia eyes Huawei chips for AI project despite US warning

Malaysia is weighing Huawei chips for a domestic AI project despite explicit US warnings against using restricted Chinese technology, Bloomberg reports.

INVESTMENT · REUTERS

Taiwan flexes chip diplomacy muscles amid allied pressure

Taiwan is deploying 'chip diplomacy' as it faces pressure from allies to share in the wealth generated by its AI-driven semiconductor boom, Reuters reports.

DIPLOMACY · NIKKEI ASIA

US, China eye Trump-Xi talks on AI guardrails despite tech rift

The US is preparing to raise AI safety concerns with China at the Sept. 24 summit despite ongoing tech tensions, Nikkei Asia reports. Beijing's MOFA confirmed Monday the two sides 'maintain communication' on AI issues without giving a date for the reported mid-September dialogue.

TARIFF · REUTERS

China's soybean crushers face high costs, weak margins ahead of Xi visit

Chinese soybean crushers face high costs and thin margins ahead of Xi's US visit, Reuters reports, as Beijing weighs the roughly \$17-billion-a-year farm-purchase commitment made at the May 2026 Beijing summit.

CROSS-STRAIT · TAIPEI TIMES

Taiwan eyes silicon photonics as next big tech leap

Taiwan's Ministry of Economic Affairs said the island is well placed to lead in co-packaged optics and silicon photonics manufacturing, citing its more than 90% share of global advanced sub-7nm semiconductor capacity. Nvidia invested \$4 billion in silicon photonics technology in March, the ministry noted, folding the technology into its 'New 10 Major AI Infrastructure Projects.'

JAPAN · KYODO

Japan detects Chinese aircraft flights over East China Sea for 5th day

Japan's Ministry of Defense detected Chinese military aircraft flying over the East China Sea for a fifth consecutive day, Kyodo reports. The sustained activity follows a summer of increased PLA air and naval movement near Japanese-monitored airspace.

JAPAN · WSJ

Japan targets record defense spend as China pressure grows

Japan is targeting record defense spending as pressure from China grows, WSJ reports. The push follows Tokyo's 2026 Defense White Paper, which again called China an 'unprecedented' strategic challenge.

INDIA · BLOOMBERG

Pakistan shows possible China missile system as ties deepen

Pakistan displayed what appears to be a Chinese-made missile system as bilateral defense ties deepen, Bloomberg reports. The display comes amid continued India-China military talks along the Line of Actual Control in the Arunachal sector, per Chinese state media.

RUSSIA-CENTRAL ASIA · SCMP

China marks tunnel milestone for Central Asia railway bypassing Russia

Chinese and Kyrgyz engineers completed drilling of the first tunnel on the Kyrgyz section of the China-Kyrgyzstan-Uzbekistan railway, a 210-meter bore and the project's first milestone since full construction began in June 2025, SCMP reports. The railway is billed as a Belt and Road corridor bypassing Russia, following Xi's recent visit to Kyrgyzstan.

EUROPE · FT

EU to table 'Buy European' procurement rules to push out China

The EU plans to table 'Buy European' public procurement rules designed to push Chinese suppliers out of government contracts, FT reports.

MIDDLE EAST · XINHUA ZH

Li Qiang meets Qatari PM and Foreign Minister in Beijing

Premier Li Qiang met Qatari Prime Minister and Foreign Minister Sheikh Mohammed in Beijing Monday, Xinhua reports. The meeting follows Doha's confirmation over the weekend that its delegation would visit China this week.

AUTO / JAGUAR LAND ROVER, TATA · AP

Jaguar Land Rover to cut 4,000 jobs to compete with China

Jaguar Land Rover announced plans to cut 4,000 jobs globally to reduce costs and compete with Chinese electric carmakers, AP reports.

FINANCE · BLOOMBERG

China's central bank adds most gold since 2023 even as prices jump

The PBOC added the most gold to its reserves since 2023 even as prices climbed, Bloomberg reports.

MACRO · WSJ

China's foreign exchange reserves continue to climb

China's forex reserves reached \$3,438.3 billion at end-August, WSJ reports, extending a multi-month climb also confirmed by MOFCOM data.

PROPERTY / GOLDMAN SACHS · BLOOMBERG

China property moves seen fueling 30% hit to land sales, Goldman says

Goldman Sachs forecasts recent property-market policy moves will fuel a roughly 30% hit to China's land sales, Bloomberg reports.

TECH / HUAWEI, XIAOMI · BLOOMBERG

Huawei, Xiaomi debut new top phones on eve of foldable iPhone

Huawei and Xiaomi launched flagship foldable phones Monday ahead of Apple's Sept. 10 event; Huawei's new Kirin chip is marketed as free of restricted US supply-chain content, per Nikkei Asia.

STAT OF THE DAY

\$3,438.3B

China's foreign exchange reserves, end-August 2026

MOFCOM/SAFE data show reserves extending their climb, a trend WSJ separately reported today.

Source: MOFCOM (商务部) / WSJ

SSE COMPOSITE

3,932.70

▼ -1.19%
as of Sep 7

HANG SENG

25,413.12

▼ -0.60%
as of Sep 7

USD/CNY

6.6991

▼ -0.40%
as of Sep 7

USD/CNH

6.7094

▲ +0.04%

BRENT

\$96.28

▲ +1.72%

PBOC 1Y LPR

3.00%

PBOC 5Y LPR

3.50%

MFG PMI

51.5

Not fetched today: 10Y CGB, China 5Y CDS, GDP · shown only when sourced, never carried forward

B E I J I N G

商务部 · MOFCOM · *MOFCOM spokesperson*

Opens anti-dumping case against Japanese chipmaking chemical

Preliminary ruling found dumping margins on imports of dichlorosilane, a chemical used in semiconductor manufacturing, originating in Japan, causing material injury to the domestic industry.

→ [MOFCOM ZH / Nikkei](#) ↗

中国人民银行 · PBOC

Conducts 500 billion yuan 3-month outright reverse repo

PBOC announced a 500-billion-yuan three-month outright reverse repurchase operation for Sept. 7, part of routine liquidity management ahead of a heavy corporate bond maturity season.

→ [PBOC ZH](#) ↗

商务部 · MOFCOM

Reports 2025 digital-deliverable services trade at \$432.31 billion

China's digitally deliverable services imports and exports totaled \$432.31 billion (4,323.1亿美元) in 2025, MOFCOM data show.

→ [MOFCOM ZH](#) ↗

CHINA LEADERSHIP MONITOR · STEVE TSANG, OLIVIA CHEUNG

CLM Insights Interview with Steve Tsang and Olivia Cheung

Tsang and Cheung discuss the current state of CCP elite politics and Xi Jinping's leadership approach in a China Leadership Monitor interview.

For policy: *Offers background for how CCP elite politics may shape Beijing's posture heading into the Sept. 24 Xi-Trump summit.*

ASPI STRATEGIST

UN Resolution 2758: when interpretation becomes institutional power

Argues Beijing is trying to redefine UN General Assembly Resolution 2758 from a procedural seating decision into a broader assertion of exclusive jurisdiction over Taiwan, using interpretation as a tool of institutional power.

For policy: *Relevant ahead of the Oct. 25 2026 55th anniversary of Resolution 2758, when Beijing is expected to again press its expansive interpretation.*

ASPI STRATEGIST

A new claim on the Batanes, from an old Chinese playbook

Warns that a Chinese scholarly claim asserting the Philippines' Batanes Islands belong to China previews a future territorial pressure campaign modeled on Beijing's historical playbook in the South China Sea.

For policy: *Adds a new potential flashpoint north of Scarborough Shoal and Second Thomas Shoal for AMTI and Philippine maritime-security planners to track.*

PROPAGANDA DELTA

MOFA's sharpest language today targeted Palau over Taiwan ties and the Philippines over Indo-Pacific alliance drills, while tone toward Washington stayed calibrated ahead of Sept. 24, confirming AI-safety communication without a date. Watch whether MOFCOM's new anti-dumping case against Japan foreshadows harder trade actions before the Xi-Trump summit.

DOCTRINAL PHRASE MOVEMENT

Community of Common Destiny / 人类命运共同体 · → stable (×1)

new productive forces / 新质生产力 · no baseline

PEOPLE'S DAILY FRONT PAGE

Clued-in | Yasukuni and the return of Japan's ghost of militarism — advances a historical-memory narrative on Japanese militarism ahead of the Sept. 18 Mukden Incident anniversary.

PROPAGANDA FOCUS

Multipolar world governance follow-through on Xi's Central Asia-Middle East trip, Xi Jinping Thought on ecological civilization (new book release), Patriotic education for youth

“China is always committed to maintaining peace and stability in the Asia-Pacific region and does not engage in major-power confrontation.”

Mao Ning · 中方回应菲律宾防长涉华言论

Moderate-heavy — 157 articles collected (77 direct PRC primary, 80 indirect/citing).

外交部 · MOFA

CONCILIATORY · TO US

US-China AI safety dialogue

Mao Ning · MOFA spokesperson

“Per MOFA: China and the United States maintain communication on AI issues, and dialogue between the two sides is ongoing.”

中美双方就AI问题保持着沟通

Context: Asked to confirm reports of a mid-September US-China AI safety dialogue ahead of the Sept. 24 summit.
外交部发言人 (MOFA presser ZH)

外交部 · MOFA

WARNING · TO TAIWAN

Taiwan-Palau 'checkbook diplomacy'

Mao Ning · MOFA spokesperson

“Per MOFA: Individual countries such as Palau maintaining so-called relations with Taiwan is about a small number of vested interests 'raking in money.'”

帕劳等个别国家同台保持所谓关系，是为少数既得利益者“圈钱”

Context: Responding to reports Taiwan authorities gave Palau politicians a grant of nearly \$281,000.
外交部发言人 (MOFA presser ZH)

外交部 · MOFA

FIRM · TO PHILIPPINES

Philippines' remarks on China exploiting US-ROK drill cuts

Mao Ning · MOFA spokesperson

“China is always committed to maintaining peace and stability in the Asia-Pacific region and does not engage in major-power confrontation. We hope relevant countries can also play a positive role in regional peace and stability.”

中方一贯致力于维护亚太地区的和平稳定，不搞大国对抗。希望相关国家也能为地区和平稳定发挥正面作用。

Context: Reuters asked Mao Ning to respond to Philippine Defense Secretary Teodoro's comment that China could exploit reduced US-South Korea military exercises.
外交部发言人 (MOFA presser ZH)

商务部 · MOFCOM

FIRM · TO JAPAN

Anti-dumping ruling on Japanese dichlorosilane

MOFCOM spokesperson · Ministry of Commerce spokesperson

“Per MOFCOM: the preliminary ruling applies anti-dumping measures to imports of dichlorosilane, a chemical used in semiconductor manufacturing, originating in Japan.”

Context: MOFCOM's Announcement No. 37 of 2026 issued the preliminary ruling Monday.
商务部 (MOFCOM ZH) / 央视网

外交部 · MOFA

FIRM · TO OTHER

China's oil interests in Venezuela

Mao Ning · MOFA spokesperson

“Per MOFA: China's legitimate rights and interests must be protected.”

中国的合法权益必须得到保护

Context: Asked whether Venezuela has assured Beijing its oil interests won't be affected by the new US-Venezuela oil deal.

外交部发言人 (MOFA presser ZH)

商务部 · MOFCOM

CONCILIATORY · TO EU

China-EU trade relations

Wang Wentao · Commerce Minister

“Under the current circumstances, keeping China-EU economic and trade relations generally stable is of major significance. We hope the Finnish government adheres to free trade and pushes Europe and China to move toward each other.”

當前形勢下，保持中歐經貿關係總體穩定具有重大意義...希望芬蘭政府堅持自由貿易，推動歐方和中方相向而行

Context: Wang Wentao met Finland's Minister of Economic Affairs in Beijing to discuss China-EU and China-Finland trade ties.

信報 (HKEJ ZH)

W I R E

TECHNOLOGY · REUTERS BREAKINGVIEWS

China's AI dragons breathe fire on Nvidia's moat

Reuters Breakingviews argues Chinese AI-chip developers are eroding Nvidia's competitive advantage faster than expected. The commentary ties into growing evidence that blacklisted Chinese firms are sustaining AI compute access despite export controls.

ENERGY · REUTERS

China pauses approvals for battery storage manufacturing projects

China has paused approvals for new battery storage manufacturing projects, Cailianshe reports via Reuters. The move suggests Beijing is moving to address overcapacity concerns in a sector it has aggressively built out.

TECHNOLOGY · BLOOMBERG

IQE CEO warns of emerging China supply risk for chip industry

The chief executive of chip materials maker IQE warned of an emerging supply risk tied to China for the semiconductor industry, Bloomberg reports. The comments add to a string of Western industry warnings about Chinese chip-supply-chain leverage.

ENERGY · BLOOMBERG

China oil demand revival spurs price spikes from Congo to Brazil

A revival in Chinese crude demand is spurring price spikes for oil grades from Congo to Brazil, Bloomberg reports. The pickup follows a separate Reuters analysis noting China's crude imports stayed weak through August.

PRC-ECONOMY · NYT

Social media in China is getting really dark

The NYT reports a marked shift toward pessimism on Chinese social media platforms amid economic strain. The mood tracks with other data points today on weak youth job markets and thin corporate margins.

LATIN AMERICA · NYT

In Peru, the Trump administration sees the limits of its anti-China push

The NYT reports the Trump administration is discovering the limits of its anti-China push in Peru, where Chinese-linked infrastructure and commercial ties remain entrenched. The finding bears on how Washington positions its Chancay-adjacent regional strategy.

WHAT WE ARE WATCHING

SEP
9

Mao Zedong death anniversary (50th)

Falls amid a wider wave of Mao nostalgia in China as memories of his rule fade.

SEP
18

Mukden Incident 95th anniversary

Traditional Japan-China flashpoint date; falls days after Kyodo reported five straight days of Chinese aircraft activity over the East China Sea.

SEP
22

UNGA high-level week opens, New York

Sets the stage for multilateral positioning ahead of the Oct. 25 55th anniversary of Resolution 2758.

SEP
24

Xi Jinping state visit to Washington

First Chinese leader visit to the US since 2015; Xi is reportedly assembling a large CEO delegation and Trump has confirmed a state dinner.

OCT
1

PRC National Day, 77th anniversary

Falls one week after the Xi-Trump Washington summit.

CSIS KOREA CHAIR · CHINA DAILY BRIEF · GENERATED 12:01 PM ET

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[↑ Back to top](#)